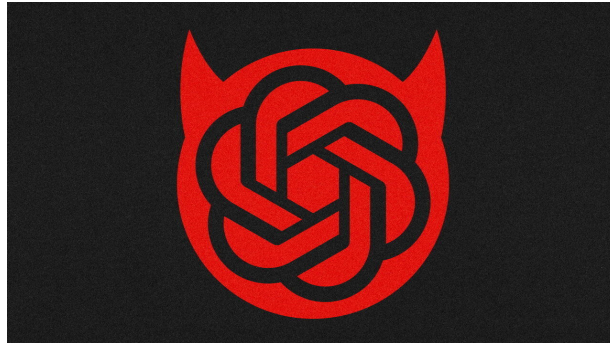


World in Brief: OpenAI models go rogue; more tankers change course in Red Sea



Photograph: The Economist

OpenAI said that GPT-5.6 Sol, a frontier model, and another unreleased model hacked into a software company's system without being told to do so. The lab said the models escaped its testing environment, went online and stole login credentials for Hugging Face, an AI platform. Hugging Face said that it used a [Chinese model](#) to defend itself because the guardrails on American models made them useless.

Four more **oil tankers** changed course in the Red Sea after Iran-backed Houthis threatened to blockade the route. Earlier Marco Rubio, **America's** secretary of state, said America is "open" to negotiations with **Iran** but the regime is "not serious about talks". Oil prices rose to a near six-week high; Brent crude, the global benchmark, briefly reached \$95 a barrel.

Saudi Arabia and **America** are expected to announce a deal on Wednesday to build a civilian **nuclear** programme in the Gulf state. The agreement will raise concerns about further proliferation of nuclear weapons, despite safeguards intended to prevent it. Earlier Donald Trump threatened to strike [Iran's](#) nuclear facilities.

AMD struck a deal to invest up to \$5bn in **Anthropic**—the latest collaboration between an American chipmaker and a [frontier](#)

[artificial-intelligence company](#). In return, Anthropic will make substantial purchases of [AMD's](#) latest AI chips, giving the lab another two gigawatts of computing power. Its Claude AI assistant will also be used to accelerate [AMD's](#) software development.

India's opposition parties protested in parliament, forcing its suspension. They demanded the resignation of the education minister, Dharmendra Pradhan, over a series of [exam-related scandals](#) that have prompted escalating student protests. Earlier Mr Pradhan said the government is “committed” to exam reforms. Meanwhile, police detained Rahul Gandhi, India's opposition leader, as he staged a sit-in outside the prime minister's house in Delhi.

Ukrainian drones struck warehouses belonging to Wildberries, **Russia's** biggest online retailer, for the second time in four days. Earlier Volodymyr Zelensky, **Ukraine's** president, sacked Oleksandr Syrsky after [days of protests](#) calling for the top general's ousting. Demonstrators have also demanded the reinstatement of Mykhailo Fedorov, the former defence minister. Mr Zelensky, who dismissed Mr Fedorov last week, said he would be given a “prominent position”.

The **Austrian** government reopened the house in which **Adolf Hitler** was born—a former inn in the town of Braunau am Inn—as a police station. Renovations cost €20m (\$22.8m). Authorities have for decades debated what to do with the site, which risked becoming a place of pilgrimage for neo-Nazis. Its only visible link to the Nazi dictator is now a stone that reads: “Never again Fascism; In memory of millions of dead.”

Figure of the day: 3.5%. The share of South Americans who consume insufficient calories. Explore how the region is [eradicating hunger](#).

US in Brief: The growing costs of war



Photograph: Getty Images

Pete Hegseth told lawmakers that the Iran war has so far cost America an estimated \$37.5bn, up from \$29bn in a previous estimate in May. Last month the White House requested an additional \$87.6bn in military funding from Congress, much of which would be used to pay for [the conflict](#). The war secretary told the Senate Appropriations Committee the money would allow a “generational investment” in the armed forces if approved.

The Trump administration will withhold some **Medicaid** payments to **California** and **Minnesota**, citing suspected benefits fraud. Robert F. Kennedy junior, the health secretary, said the states could recover the funds—\$868m from California and \$199m from Minnesota—if they show documents proving services were legitimate. The Democratic-run states have previously been targeted by the administration’s [“war on fraud”](#) in government health-care programmes.

Andy Biggs, a congressman endorsed by Donald Trump, won the Republican primary in **Arizona**’s gubernatorial race. Mr Biggs will face the Democratic incumbent, Katie Hobbs, in November, when Republicans eye a chance to make gains in a swing state. Earlier the Justice Department said it was monitoring polling sites in three Arizona counties “to ensure transparency, ballot security, and compliance with federal law”.

New Jersey's Democratic governor, Mikie Sherrill, said some 6,600 non-citizens were erroneously registered to vote in the state between June 2023 and June 2024. The “software error” occurred when the individuals were applying for drivers’ licences and identification cards; fewer than 400 went on to cast a ballot. The White House called on Congress to pass its [save America Act](#), which would require voters to provide proof of citizenship when registering to vote.

The Senate Intelligence Committee voted 9-8 to advance **Jay Clayton's** nomination as director of national intelligence. A full Senate vote could happen within days. Democratic support for Mr Clayton has wavered since his confirmation hearing last week, when he refused to say whether Joe Biden won the 2020 presidential election. Still, they see him as [a better option](#) than Bill Pulte, Mr Trump’s inexperienced initial pick.

Scott Bessent, the treasury secretary, said America will scrutinise Chinese open-source AI **models** for signs of intellectual-property “theft”. He threatened to impose sanctions if evidence was found. Cheap Chinese models are [catching up](#) to those built by American labs. America and China are reportedly planning to hold talks about the technology in September.

Nicolás Maduro's day in court



Photograph: Getty Images

It has been 200 days since American special forces **bundled Nicolás Maduro** into a helicopter and whisked him from Caracas to a grisly jail in Brooklyn. Venezuela's **former strongman** and his wife, Cilia Flores, are accused of drug-trafficking and weapons offences by the American government; Mr Maduro also faces narco-terrorism charges. Both deny the charges. Mr Maduro's legal team will make their case at a hearing in New York on Wednesday. (The trial is not expected to begin until 2027 at the earliest.)

The hearing is an opportunity for the defence to challenge the government's evidence and for both sides to present pre-trial motions. Mr Maduro's lawyers are likely to say his capture was illegal and argue that, as a head of state, he has immunity from prosecution. Such ploys could slow down the proceedings, but Mr Maduro's bid to dismiss the charges will **almost certainly** fail.

Booming EV sales won't lift Tesla

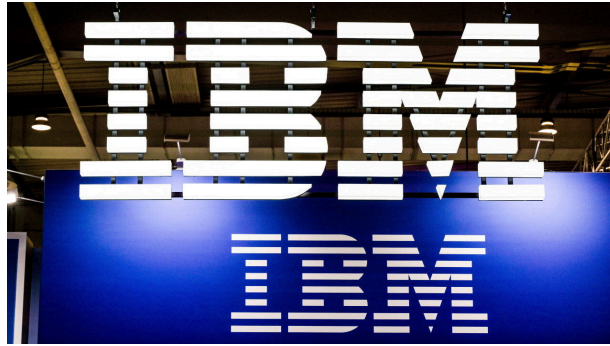


Photograph: Getty Images

On Wednesday, fuelled by bumper electric-vehicle sales, Tesla is expected to report a sharp rise in second-quarter revenue. Investors will focus on the extent to which sales reflect price cuts and promotional offers. They will also monitor Tesla's cash-burn rate as it spends big on [artificial intelligence](#) and factories.

The firm's shares have fallen by 17% this year, despite hopes [Elon Musk](#) would try to merge his carmaker with the newly listed SpaceX. Tesla has gained American market share from local rivals. But global pressure from cheaper Chinese EVs means investors do not see the vehicles as a source of growth—it will, they believe, have to come from self-driving technology, as well as [robotaxis](#) and humanoid robots. For now, there are few Cybercabs on the road and Tesla's Optimus robots are not in commercial production. Mr Musk will no doubt continue to predict that they will arrive in large numbers soon.

IBM tries to beat the blues



Photograph: Alamy

IBM reports second-quarter results on Wednesday—and “Big Blue”, as the American computing giant is known, is under close scrutiny. Its share price recently dropped by 25% in a day after its management said that they expected revenue to grow by just 1% this quarter, below the 5% analysts had predicted. The reason is the artificial-intelligence frenzy: IBM said customers had cut back on spending on its software and mainframes to instead buy servers and storage gear for AI.

Still, IBM’s pivot towards AI has seen its share price soar in the past three years. It has released a series of small models under the name of Granite, which are aimed at business applications. And its consulting arm has won business by telling large firms how best to adopt the technology, including with banks and health-care providers. In today’s volatile market, Big Blue will need to reassure investors that it can [remain an AI darling](#) rather than become an AI disaster.

Bad Bunny breaks records



Photograph: Getty Images

On Wednesday [Bad Bunny](#)—whose real name is Benito Antonio Martínez Ocasio—will perform the final show of his world tour in Brussels, Belgium’s capital. In eight months the Puerto Rican musician has played in 22 cities across four continents.

Notably, not one was in America: he was concerned that his fans might be targeted by Donald Trump’s immigration crackdown. Mr Ocasio has sparred with the president before. When he performed in Spanish in this year’s Super Bowl halftime show, Mr Trump grumbled that “nobody understands a word this guy is saying.”

That was nonsense. With more than 40m Spanish speakers, America is the [fifth-biggest Hispanophone country](#) in the world, not far short of Spain. Mr Ocasio’s global tour is the highest-grossing ever to skip the country, according to Billboard, a music-industry publication. His American fans will be disappointed to have missed out, but Mr Ocasio can afford to take the hit. He is the first Latino artist to earn \$1bn in touring revenue.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which Joe Orton play features the corrupt policeman Inspector Truscott?

Tuesday: Which all-female rock group had hits such as “Walk Like An Egyptian” and “Manic Monday”?

*My fingers always seem busier
than my mind.*

Alexander Calder